

Multiple Choice (10 marks)

1. The demand curve for a perfectly competitive firm's product is
 - (a) upward sloping and greater than the market demand curve.
 - (b) kinked at the market price and less than the market demand curve.
 - (c) perfectly elastic.
 - (d) downward sloping and equal to the market demand curve.
 - (e) downward sloping and less than the market demand curve.
2. The Law of Diminishing Marginal Returns is responsible for
 - (a) MC that first falls, but eventually rises, as output increases.
 - (b) AP that first falls, but eventually rises, as output increases.
 - (c) TC that first falls, but eventually rises, as output increases.
 - (d) AVC that first rises, but eventually falls, as output increases.
 - (e) MP that first falls, but eventually rises, as output increases.
3. Which of the following could be used as a test for autocorrelation up to third order?
 - (a) The Dickey-Fuller test
 - (b) The Jarque-Bera test
 - (c) White's test
 - (d) The Augmented Dickey-Fuller test
 - (e) The Durbin Watson test
4. According to Say's law
 - (a) when price goes up supply goes up
 - (b) price and supply have no correlation
 - (c) when supply goes up, demand goes down
 - (d) demand creates its own supply
 - (e) when demand goes up, supply goes down
5. Suppose that there are only two goods: x and y. Which of the following is NOT correct?
 - (a) One can have comparative advantage in producing both goods.
 - (b) One can have both an absolute advantage and a comparative advantage in producing x.
 - (c) One can have absolute advantage and no comparative advantage in producing x.
 - (d) One can have comparative advantage and no absolute advantage in producing x.

True / False (10 marks)

Answer True or False

6. True or False: When nominal GDP is \$6000 and the GDP deflator is 200, the real GDP is calculated as \$3000.
7. True or False: Total fixed costs (TFC) do not vary with output and are equal to average variable costs at the break-even point.
8. True or False: Monopolistically competitive industries are characterized by product differentiation and downward-sloping demand curves.
9. True or False: The appropriate fiscal policy to remedy a recession involves the federal government increasing its spending and/or cutting taxes.
10. True or False: An increase in the number of financial intermediaries decreases the diversity of financial products.

Long Form Response (20 marks)

Answer each question with a clear and complete explanation.

11. Discuss the key factors that contributed to stagflation in the early 1970s, analyzing how each element interacted within the broader economic landscape.
12. Discuss how the marginal cost equals marginal revenue ($MC = MR$) rule influences labor hiring decisions in a perfectly competitive market, emphasizing the relationship between wage determination and marginal revenue product.

End of Paper